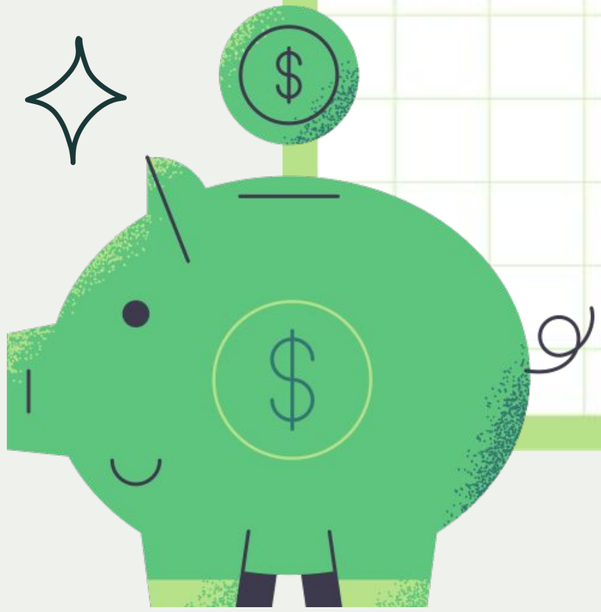


VENTURE CAPITAL FINANCING







INTRODUCTION

The venture capital market comprises of new entrepreneurs and enterprises, banks, venture capital funds, high net worth individuals and regulator. With a view to encourage entrepreneurs to set up new enterprises based on scientific technology and knowledge, it is necessary to promote venture capital market.

Thus the venture capital finance helps in developing entrepreneurship and exploits untested technology to produce goods or provide technology oriented services. All the aspects of venture capital are discussed in this unit.

CONCEPT OF VENTURE CAPITAL

The venture capital may be defined as the long-term equity investments in new business which has potential for tremendous growth in business and financial returns.

Since venture capital is a part of long term owned funds, investors who provide such capital, bears the risk in the business. Because of this it is also called as risk capital.

Venture Capital is provided by high net worth investors, investment banks and commercial banks who invest in young, rapidly growing companies that have the potential to develop into economy powerhouses.



FEATURES OF VENTURE CAPITAL

- competent and capable

The venture capital is provided to those promoters who are technically and/or professionally qualified, competent and capable to lunch and run new business but do not have adequate funds for investment in such business.

- innovations

The venture brings a lot of innovations with regard to the use of technology, production process and product design. This puts such venture in a position of advantage over other competitors.

- high risk and high return

The venture capital investment carries high risk and high return. Hence those investors who are prepared to take high risk and expect high return invest in such ventures.

- long term

The venture capital investment is for longer period. Initially such investment is locked up for certain period say 3 to 5 years from the date on which such investment is made, till such period such investment is considered as illiquid.

BENEFITS OF VENTURE CAPITAL



Opportunity

Venture Capital provides the venture capital undertaking with an opportunity to set up new business carrying higher risk and undertake expansion of business.



Guidance

Besides long-term finance, venture capital brings a source of valuable guidance and expertise. A member from the venture capital fund/firm is usually appointed as a nominated director of the start-up venture.



Networks

Venture capitalists have a large network of connections in the business world. These connections indirectly help start-ups to grow and become successful in running the business.



No Obligation

There is no obligation to repay the venture capital for the investors if the start-up/ new ventures fail or closed down. Hence, venture capital funding is essential for start-ups/high risky ventures.



Easy to Identify

It is very easy to identify venture capital fund as they are registered with regulator and documented in various directories. This reduces the time, effort, and money involved in searching.

LIMITATIONS



Dilution of Ownership and Control of Promoters Venture capitalist provides huge equity capital to the start-ups/new ventures in return for a stake in the ownership of the venture capital undertaking.

Early Redemption of Venture Capital - The venture may decide to redeem the venture capital investment since its inception within 3 to 5 years. Investor's primary focus is to earn capital gains.

Long and Complicated Process for Venture Capital - The start-up enterprise's promoter has to submit a detailed business plan. After that, the venture capital investors analyse the business plan from various angles.



VENTURE CAPITAL FINANCE V/S PRIVATE EQUITY FINANCE



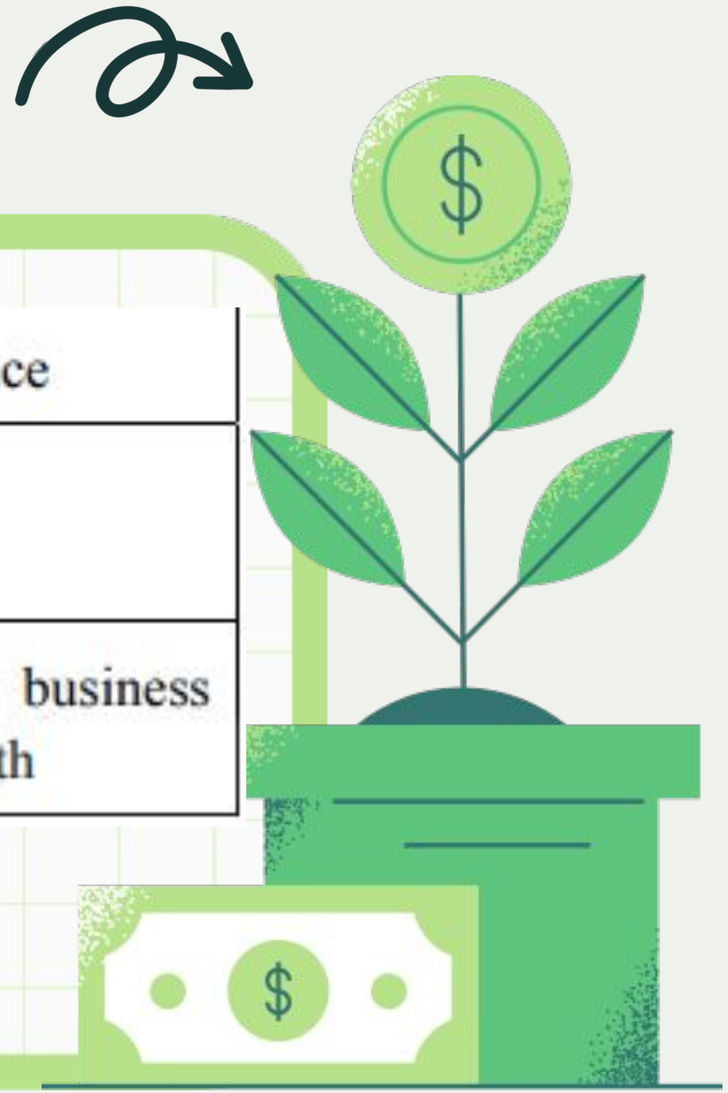
Parameters	Venture Capital Finance	Private Equity Finance
Meaning	These are small investments used to grow the companies in their early stage	It is the investments to those firms which are not listed on any recognised stock exchange



Investment Stages	Initial stage	Later stage
Fund Invested	In a large number of firms	In a few companies
Types of Industries	Industries such as high technology, energy conservation, etc. that need initial investments	All types of Industries



Focus on	Management Skill	Corporate Governance
Risk Involved	High	Low
Capital Required	For day to day operations and business growth	It is required for business expansion and growth



STRUCTURE OF VENTURE CAPITAL INDUSTRY

Venture Capital fund can be formed in the form of Trust or a Company or Body Corporate. Investors in venture capital funds are:

- Financial institutions,

- Banks,

- Pension Funds

- Corporations and

